

50° to 45°. This doesn't happen; under 50°, the cricket packs it in and stops chirping altogether.

No matter how reliable the relationship of two variables has been (such as interest rates and inflation), there is no reason to think the relationship will hold for previously unknown levels (as happens when inflation rates soar).

In the investment world, however, extrapolating patterns from historical data is unreliable because of the constantly changing nature of that world. We all accept the cliché that the pace of change has accelerated, but I wonder if what that really means has sunk in.

The institutionalization of the market, for example, has had a profound effect on market behavior. Individual investors tend to hold on to their stocks; institutions have been turning over their portfolios almost 100 percent a year. They may not be trying to time the market—many professional managers stay fully invested—but they are constantly changing the names in their portfolios. The incessant stock switching that has taken hold among many professional managers is like a bride's announcing at the wedding reception that she is already planning her divorce. Furthermore, individuals make sales at scattered times, while institutions tend to act in unison. We're back to the herd of zebras, responding similarly to any given stimuli.

This time, the zebras are in a canyon, with the lion asleep at the head wall. Every zebra is going to munch grass right up to the lion's nose, then bolt down the trail just before the lion pounces. Unfortunately, it is a narrow trail, and in fact, the zebras will pile up in a helpless clot at the first narrow point and become instant steak tartare. Many large institutions, responsible for billion-dollar portfolios and dealing in often illiquid markets, claim that they can